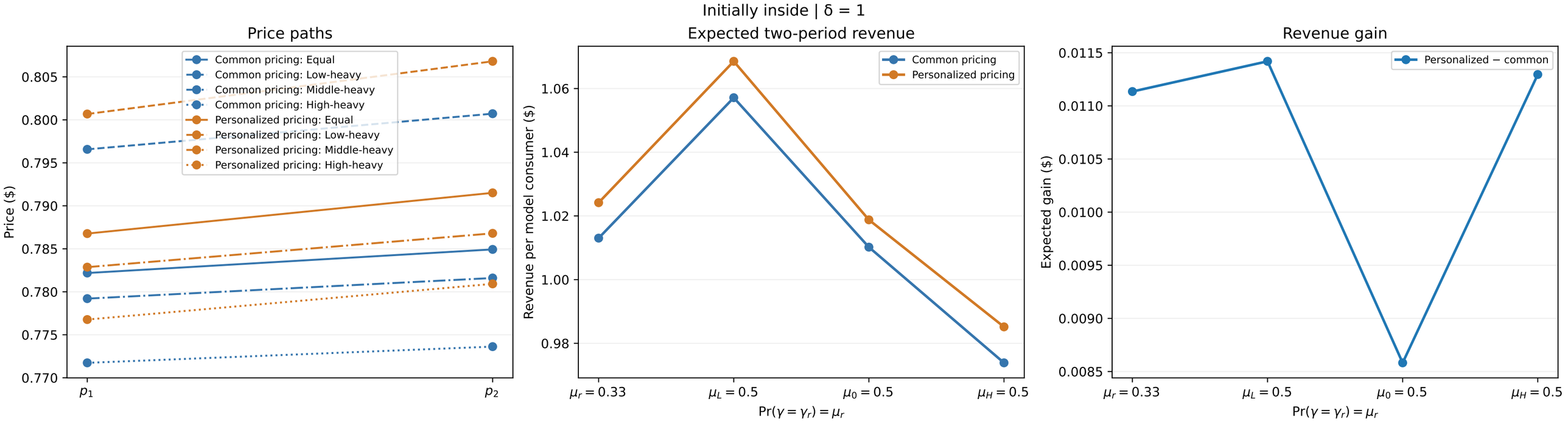
Initially inside | δ = 1
Price paths
Common pricing: Equal
Common pricing: Low-heavy
Common pricing: Middle-heavy
Common pricing: High-heavy
Personalized pricing: Equal
Personalized pricing: Low-heavy
Personalized pricing: Middle-heavy
Personalized pricing: High-heavy
Price ($)
0.805
0.800
0.795
0.790
0.785
0.780
0.775
0.770
p_1
p_2
Expected two-period revenue
Common pricing
Personalized pricing
Revenue per model consumer ($)
1.06
1.04
1.02
1.00
0.98
$\mu_r = 0.33$
$\mu_L = 0.5$
$\mu_0 = 0.5$
$\mu_H = 0.5$
$\Pr(\gamma = \gamma_r) = \mu_r$
Revenue gain
Personalized − common
Expected gain ($)
0.0115
0.0110
0.0105
0.0100
0.0095
0.0090
0.0085
$\mu_r = 0.33$
$\mu_L = 0.5$
$\mu_0 = 0.5$
$\mu_H = 0.5$
$\Pr(\gamma = \gamma_r) = \mu_r$